

violently from sound sense and business experience, common-stock buyers must inevitably lose money in the end, even though large speculative gains may temporarily accrue, and even though certain fortunate purchases may turn out to be permanently profitable.

The Future Price of the Product. The three preceding examples related to the future continuance of the rate of output and the operating costs upon which the past record of earnings was predicted. We must also consider such indications as may be available in regard to the *future selling price* of the product. Here we must ordinarily enter into the field of surmise or of prophecy. The analyst can truthfully say very little about future prices, except that they fall outside the realm of sound prediction. Now and then a more illuminating statement may be justified by the facts. Adhering to the mining field for our examples, we may mention the enormous profits made by zinc producers during the Great War, because of the high price of spelter. Butte and Superior Mining Company earned no less than \$64 per share before depreciation and depletion in the two years 1915–1916, as the result of obtaining about 13 cents per pound for its output of zinc, against a prewar average of about $5\frac{1}{4}$ cents. Obviously the future earning power of this company was almost certain to shrink far below the war-time figures, nor could these properly be taken together with the results of any other years in order to arrive at the average or supposedly “normal” earnings.⁵

Change in Status of Low-Cost Producers. The copper-mining industry offers an example of wider significance. An analysis of companies in this field must take into account the fact that since 1914 a substantial number of new low-cost producers have been developed and that other companies have succeeded in reducing extraction costs through metallurgical improvements. This means that there has been a definite lowering of the “center of gravity” of production costs for the entire industry. Other things being equal, this would make for a lower selling price in the future than obtained in the past. (Such a development is more strikingly illustrated by the crude-rubber industry.) Differently stated, mines that formerly rated as low-cost producers, *i.e.*, as having costs well below the average, may have lost this advantage, unless they have also greatly improved their technique of pro-

⁵ The same type of reasoning clearly applies to the *volume of business* due to war conditions, as well illustrated by the exhibits of airplane companies in 1939–1940.